

not affect your monthly budget at all. You will see that you can still manage your expenses as you were doing earlier

- As you become mature in handling fixed deposits, have online accounts from 2–3 different banks, with one of them at least being a public sector bank. I personally started with having online FDs with HDFC bank. After 8 months, I also started investing in ICICI bank and later, I added State Bank of India as the public sector bank where I make my fixed deposits. The purpose is not to complicate things, but to make sure that:
 - Not to put all your eggs in the same basket. Having all fixed deposits in one private sector bank may not be the best idea
 - Make use of the best interest rate available among all the banks. Different banks often change their rate of interest, offered to the consumers, depending on market situations. It is beneficial to compare the interest rates offered by these banks and then pick the one which best suits you. You can transfer funds online across banks and get the best possible interest rate available in the market

To decide whether you want to block your FDs for 1 year or 2 years or more, you might need to have a general idea of the future trend in FD interest rates. This needs a bit of understanding about the movement of interest rates as announced by Reserve Bank (RBI). You might want to study the relation of FD interest rates with the repo rate or the base lending rates that the central bank like Reserve Bank of India keeps announcing. Normally, if you keep reading certain economic articles, you will come to know if the repo rate is likely to go up and down a few weeks/months in advance. FD rates normally go hand in hand with the repo rates. This gives you a fair idea whether you want to immediately go for the fixed deposit or wait for a few days/weeks to see if the banks change the FD rates on the higher side.

If you have a large number of bank fixed deposits, it is very important to keep a track of their maturity dates and the amounts. It is also important to store the FD receipts which are generated online. These receipts are either